

European Utilities & Clean Energy

European Utilities: How much do utilities benefit from the high power price environment?



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Power and gas prices provide upside risk: Recent geopolitical developments have triggered a sharp increase in both power and gas prices (€15-20/MWh since August), creating a potentially material earnings upside for companies with merchant generation production. Europe approaches the winter season and gas inventories remain below comfortable levels ([see our note](#)), increasing the risk of supply shortages during periods of peak demand and the challenge of rebuilding inventories after the heating season could keep gas balances constrained well into summer 2027.

Dispersion of exposure to merchant power prices: European utilities under our coverage retain a heterogeneous exposure to wholesale power prices, with structural merchant exposure ranging from ~20% to ~90% of expected generation, while renewable producers show exposure of ~25% to ~66%. However, the effective earnings impact is moderated by natural hedges from retail customer bases, PPAs and other contractual arrangements.

Impact on EPS becomes significant by 2028e: With most 2026e generation already hedged, we expect only a limited earnings impact from the recent increase in power and gas prices. However, the upside becomes increasingly attractive in 2027e and especially 2028e, as higher forward prices filter through portfolios and could also benefit from additional profitability on yet-to-be-renewed retail contracts. Based on our estimates, a €10/MWh increase in power prices could boost 2028e earnings by ~10% for EDP, EDPR, Endesa and Verbund, while the impact for Iberdrola, Enel and Engie would be ~3.5%-5.0%. For Solaria and Acciona Energia, the theoretical upside is higher at ~17%-25%, although this depends on future PPAs, solar capture prices and, in Acciona Energia's case, pending asset disposals.

Gas trading upside remains limited in the near term: Current HH-TTF spreads are elevated (€62/MWh, €36.5/MWh and €12.3/MWh across 2026-28). However, the volumes still available to capture these spreads are likely limited, as a significant portion of trading capacity may already have been utilised during the initial phase of the Iran conflict. Our sensitivity analysis estimates the impact of these limited volumes considering these spreads hold. The results suggest limited earnings upside for Endesa, moderate upside for Engie, while Naturgy could see an approximately +5-7% uplift to EPS in 2027-28e.

Investment implications: Overall, in our view, **EDP, EDPR and Endesa offer the most compelling upside potential for 2028e earnings**, while the upside for the other integrated utilities appears more limited. In the case of **Verbund**, uncertainty around hydro generation and taxation reduces the upside potential. For **Solaria and Acciona Energia**, upside depends on additional factors, including solar capture prices and, in the case of Acciona Energia, the execution of planned asset disposals.

BERNSTEIN TICKER TABLE

			17 Sep 2026 Closing	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
ANE.SQ (Acciona Energía)	M	EUR	21.80	23.00	(16.9)%	EUR	0.37	0.44	0.69	58.7	49.6	31.5
EDP.PL (EDP)	O	EUR	4.85	5.40	12.1%	EUR	0.31	0.33	0.32	15.8	14.6	15.2
EDPR.PL (EDP/R)	O	EUR	12.79	15.70	13.6%	EUR	0.24	0.49	0.50	54.0	26.2	25.3
ELE.SM (Endesa)	M	EUR	43.72	41.00	50.5%	EUR	2.22	2.46	2.60	19.7	17.8	16.8
ENEL.IM (Enel)	M	EUR	9.05	9.80	0.8%	EUR	0.67	0.70	0.77	13.5	12.9	11.7
ENGI.FP (Engie)	M	EUR	24.25	29.40	22.2%	EUR	1.96	1.97	2.18	12.4	12.3	11.1
GRE.SQ (Greenergy)	M	EUR	90.60	125.00	14.3%	EUR	3.08	3.95	5.49	29.4	22.9	16.5
IBE.SM (Iberdrola)	M	EUR	20.52	20.00	17.3%	EUR	0.95	1.02	1.12	13.3	12.4	11.6
NTGY.SM (Naturgy)	M	EUR	29.92	28.50	1.8%	EUR	2.08	2.20	2.14	14.4	13.6	14.0
SLR.SQ (Solaria)	M	EUR	17.55	25.30	39.9%	EUR	0.76	1.26	1.49	23.0	14.0	11.8
SSE.LN (SSE)	O	GBP	2,487.00	2,850.00	34.1%	GBP	1.61	1.53	1.82	15.4	16.2	13.6
VER.AV (Verbund)	U	EUR	62.15	54.60	(9.4)%	EUR	4.24	2.82	3.83	14.7	22.0	16.2
EDME			1,575.17									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

IBE.SM valuation is EV/Adj EBITDA (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

EDP, EDPR and Endesa offer the most compelling upside potential for 2028e earnings, while the upside for the other integrated utilities appears more limited. In the case of **Verbund**, uncertainty around hydro generation and taxation reduces the upside potential. For **Solaria** and **Acciona Energía**, upside depends on additional factors, including solar capture prices and, in the case of Acciona Energía, the execution of planned asset disposals.

VALUATION COMPS TABLE

EXHIBIT 1: Bernstein European Utilities comparative valuation table

	BERN Rating	Curr.	Close Price	Target price	Upside/ Downside	Market Cap (m)	P/E			EV/EBITDA			ND/EBITDA			DY (%)		
							2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Generation																		
Fortum	-	EUR	24.4	-	-	21,920	23.8x	23.1x	21.5x	15.7x	15.2x	14.6x	1.2x	1.1x	1.1x	3.7%	3.8%	3.9%
Verbund	U	EUR	62.2	54.6	-12%	21,627	22.0x	16.2x	19.1x	12.3x	9.9x	11.0x	2.0x	1.9x	2.4x	2.3%	3.1%	2.6%
Average							22.9x	19.6x	20.3x	14.0x	12.5x	12.8x	1.6x	1.5x	1.7x	3.0%	3.4%	3.3%
Integrated																		
Iberdrola	M	EUR	20.5	20.0	-3%	135,999	20.0x	18.4x	16.8x	12.1x	11.7x	11.4x	4.1x	4.2x	4.3x	3.6%	3.8%	3.9%
Enel	M	EUR	9.1	9.8	8%	90,900	12.9x	11.7x	11.4x	7.8x	7.7x	7.5x	3.3x	3.5x	3.5x	5.7%	6.0%	6.2%
Engie	M	EUR	24.3	29.4	21%	61,323	12.3x	11.1x	11.4x	8.5x	7.6x	7.8x	4.0x	3.4x	3.6x	5.7%	6.2%	6.5%
RWE	-	EUR	60.6	-	-	47,283	20.1x	18.2x	16.9x	11.1x	9.9x	9.6x	2.2x	2.2x	2.5x	2.2%	2.4%	2.6%
Endesa	M	EUR	43.7	41.0	-6%	45,170	17.8x	16.8x	15.9x	9.4x	9.7x	9.3x	1.9x	2.3x	2.3x	4.2%	4.4%	4.7%
Naturgy	M	EUR	29.9	28.5	-5%	28,972	13.6x	14.0x	14.6x	8.4x	8.4x	8.4x	3.0x	3.0x	2.9x	6.2%	6.4%	5.4%
SSE	O	GBP	2,487	2,850	15%	30,031	13.6x	11.5x	10.4x	11.8x	10.7x	9.9x	3.0x	3.3x	3.4x	3.0%	3.2%	3.4%
EDP	O	EUR	4.9	5.4	11%	20,228	14.6x	15.2x	14.3x	8.4x	8.6x	8.3x	2.9x	3.0x	2.9x	4.3%	4.4%	4.6%
Centrica	M	GBP	153	210.0	38%	6,994	12.1x	10.6x	9.5x	6.7x	6.8x	5.9x	-0.8x	-0.6x	-0.4x	3.9%	4.3%	5.3%
Average							15.2x	14.2x	13.5x	9.3x	9.0x	8.7x	2.6x	2.7x	2.8x	4.3%	4.6%	4.7%
Regulated																		
National Grid	O	GBP	1,158	1,310.0	13%	57,959	13.0x	11.4x	10.1x	11.9x	11.1x	10.5x	5.6x	5.5x	5.5x	4.3%	4.4%	4.5%
E.ON	-	EUR	17.7	-	-	46,382	16.2x	14.3x	13.4x	10.3x	9.6x	9.3x	4.8x	4.7x	4.7x	3.3%	3.5%	3.6%
Terna	O	EUR	9.4	10.3	9%	18,846	18.4x	17.4x	16.3x	12.0x	11.8x	11.9x	5.6x	5.9x	6.3x	4.2%	4.2%	4.4%
Snam	M	EUR	5.6	6.4	14%	18,774	13.1x	13.1x	12.7x	12.4x	12.3x	12.4x	6.4x	6.4x	6.8x	5.6%	5.8%	6.0%
Elia	O	EUR	122.0	145.0	19%	13,307	17.6x	15.6x	13.0x	15.3x	14.9x	14.1x	8.9x	9.6x	9.7x	1.7%	1.7%	1.8%
Redeia	O	EUR	15.1	18.6	23%	8,159	16.4x	16.2x	15.2x	10.9x	11.0x	10.7x	4.6x	4.7x	5.0x	5.4%	5.5%	5.6%
Italgas	M	EUR	8.4	9.8	16%	8,601	11.5x	10.5x	9.7x	9.2x	8.7x	8.6x	5.0x	4.8x	4.8x	5.6%	6.2%	6.7%
Enagas	O	EUR	16.8	18.9	12%	4,383	18.3x	14.7x	15.0x	11.3x	9.4x	9.2x	4.6x	3.7x	3.4x	5.9%	5.9%	5.9%
REN	O	EUR	3.6	4.4	22%	2,395	16.3x	16.7x	15.7x	8.4x	8.3x	8.1x	4.5x	4.6x	4.5x	4.6%	4.8%	4.9%
Average							15.7x	14.4x	13.5x	11.3x	10.8x	10.5x	5.6x	5.5x	5.6x	4.5%	4.7%	4.8%
UK waters																		
Severn Trent	O	GBP	3,076	3,620	18%	9,261	15.2x	11.9x	10.9x	13.3x	12.1x	11.6x	7.4x	7.1x	7.1x	4.2%	4.3%	4.4%
United Utilities	O	GBP	1,392	1,520	9%	10,274	13.4x	12.3x	12.6x	12.5x	12.0x	12.3x	6.2x	6.4x	7.0x	4.0%	4.1%	4.2%
Pennon	M	GBP	463	520	12%	2,176	17.7x	14.9x	13.6x	12.7x	12.5x	12.4x	8.8x	8.9x	9.0x	6.6%	6.7%	6.8%
Average							15.4x	13.0x	12.4x	12.8x	12.2x	12.1x	7.5x	7.5x	7.7x	4.9%	5.0%	5.1%
Renewable																		
Orsted	-	DKK	136.0	-	-	182,259	16.9x	13.8x	13.1x	7.9x	7.6x	6.0x	0.9x	1.0x	0.2x	2.0%	2.3%	2.4%
EDPR	O	EUR	12.8	15.7	23%	13,490	26.2x	25.3x	22.7x	10.0x	9.7x	9.3x	4.0x	3.5x	3.3x	1.5%	1.6%	1.8%
Acciona Energia	M	EUR	21.8	23.0	6%	7,067	49.6x	31.5x	33.1x	8.3x	9.7x	9.5x	2.8x	3.2x	3.2x	1.2%	1.1%	1.1%
Grenergy	M	EUR	90.6	125.0	38%	2,564	22.9x	16.5x	9.5x	17.9x	14.1x	11.7x	6.5x	6.6x	7.1x	0.0%	0.0%	0.0%
Solaria	M	EUR	17.5	25.3	44%	2,316	14.0x	11.8x	9.8x	12.3x	10.5x	8.8x	6.2x	6.1x	5.1x	0.0%	0.0%	0.0%
Average							25.9x	19.8x	17.7x	11.3x	10.3x	9.1x	4.1x	4.1x	3.8x	0.9%	1.0%	1.1%
Environment																		
Veolia	O	EUR	32.1	40.0	25%	23,693	13.3x	12.0x	11.2x	7.9x	7.4x	7.2x	3.8x	3.6x	3.5x	5.0%	5.5%	5.9%
Utilities Sector Average							17.7x	15.4x	14.5x	10.9x	10.3x	9.9x	4.3x	4.3x	4.3x	3.8%	4.0%	4.1%
Other																		
Metlen	M	EUR	46.8	42.0	-10%	6,573	11.2x	8.5x	6.5x	9.1x	7.2x	5.6x	3.1x	2.4x	1.6x	3.1%	4.1%	5.4%

Note: Fortum, E.ON, RWE, Orsted data based on consensus

Source: Bloomberg as of 17 September 2026, Bernstein analysis and estimates

DETAILS

MAIN CONCLUSIONS

In this report, we assess the potential earnings upside for European Utilities following the sharp increase in power and gas prices triggered by the conflict in the Middle East. The European gas market also appears increasingly tight ahead of this winter, with low storage levels potentially extending that tightness into summer 2027 ([European Utilities: A tighter winter gas outlook supports power market optionality](#)). European forward power prices have increased materially, even since the beginning of August. Two-year forward prices have increased by €15-20/MWh, while the German 3-year forward has increased by around €10/MWh. Our analysis highlights that the effective merchant exposure (% of total production) of some integrated utilities is greater than headline figures initially suggest while for some renewable producers that appear to have significant merchant exposure, the resulting earnings sensitivity also depends on factors beyond wholesale prices, including capture prices, geographic exposure and PPAs.

POWER PRICE EXPOSURE: DISPERSED BUT MODERATE FOR INTEGRATED UTILITIES, HIGHER FOR RENEWABLES

Power price exposure across our European utilities coverage is primarily concentrated in European markets, with some additional exposure to the US, where generation is typically less hedged. Before financial hedges or the natural offset provided by retail supply, **integrated utilities' structural merchant exposure ranges from ~20% to ~90%** of expected generation. However, their end-customer bases provide a natural hedge against movements in wholesale power prices, smoothing the timing and scale of the earnings impact.

Among renewable producers, structural merchant exposure ranges from ~25% to ~66% of expected generation. However, Solaria's exposure should decline by 2030e as new PPAs come online, while most of Grenergy's exposure relates to energy trading around the storage capacity of its hybrid projects (which may last just a few years). As we show in this report, earnings sensitivity can therefore differ from simply the proportion of generation exposed to market prices. Looking ahead, we do not expect a significant change in merchant exposure. Higher demand from households could increase merchant volumes, but this may be offset by stronger industrial and data center demand contracted under long-term PPAs.

LIMITED EARNINGS UPSIDE IN 2026E, BUT ATTRACTIVE BY 2028E

Recent geopolitical developments have lifted gas and power prices across the forward curve, with the largest increases concentrated nearer-term (2026-28). Longer-dated prices have also moved higher, with the German 3-year forward power price up €10/MWh since the beginning of August.

As most expected 2026 generation is already hedged, we expect only a limited earnings benefit from higher power and gas prices during the remainder of the year. However, the potential upside becomes more meaningful in 2027e and, particularly, in 2028e as hedge coverage declines. In our view, some of the 2027-28 hedging levels presented by the large integrated utilities include the natural coverage provided by their retail customer bases. As many of these customer contracts have not yet been renewed, higher wholesale prices could be reflected in future retail pricing, creating scope for additional profitability.

According to our estimates, **a €10/MWh increase in power prices could add around 10% to 2028e earnings for EDP, EDPR, Endesa and Verbund. For Iberdrola, Enel and Engie, we estimate potential upside of ~3.5-5.0%.** The theoretical sensitivity is considerably higher for Solaria and Acciona Energia, at 17.0-25.0%. However, the realised impact will depend on several factors, including new PPAs, solar capture prices (the discount vs wholesale prices is widening) and in the case of Acciona Energia, the completion of planned asset disposals.

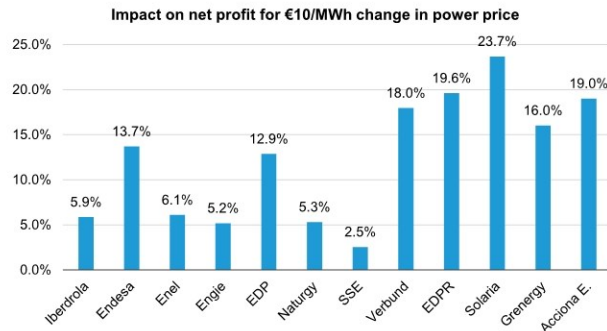
LIMITED NEAR-TERM GAS TRADING UPSIDE, BUT THE RISK IS SKEWED POSITIVELY

We assess the potential earnings upside from unhedged gas volumes using current Henry Hub-TTF spreads of €62/MWh for 4Q26, €36.5/MWh for 2027e and €12.3/MWh for 2028e, which we note can be very volatile. However, visibility on the volumes available for opportunistic trading is limited, particularly as companies may have hedged part of their exposure when spreads initially widened following the start of the Iran conflict. We therefore assume that only 1.0-10.0% of Henry Hub-linked volumes and 1.5-5.0% of Algerian/Oil-linked supply remain available, with the proportion increasing over time.

Under these assumptions, **Naturgy offers the greatest incremental earnings upside**, with potential net profit upside of 7.2% in 2027e and 4.6% in 2028e. The impact is more limited for Endesa at 2.0-1.2%, reflecting lower available volumes. For Engie, the potential uplift reaches 5.5-3.5%, although the assumptions are more uncertain given limited disclosure on procurement and unhedged trading volumes.

Overall, we see EDP, EDPR and Endesa as offering the clearest upside risk to 2028e earnings, while the potential benefit for the other integrated utilities appears more limited. Verbund also has meaningful power price sensitivity, although uncertainty around hydro production and taxation reduces the attractiveness. For Solaria and Acciona Energia, the potential upside is more conditional and will depend on factors including solar capture prices, new PPAs and, in the case of Acciona Energia, planned asset disposals.

EXHIBIT 2: Structural exposure to power prices: impact on net profit for each €10/MWh change (2030e)



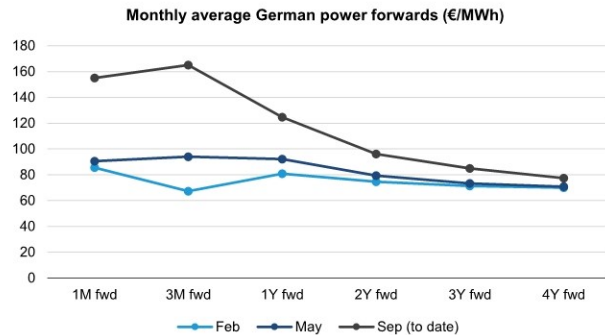
Source: Bernstein analysis and estimates

EXHIBIT 4: Gas trading upside risk seems limited

	2026 e	2027 e	2028 e
Current spread HH-TTF (€/MWh)	62.0	36.5	12.3
Spread for sensitivity (€/MWh)	15.0	10.0	5.0
Volumes available for trading (Bcm)			
Naturgy	3.0	16.1	27.0
Endesa	1.3	4.2	7.4
Engie	6.0	12.9	25.8
Impact in Net profit (as %)			
Naturgy	1.6%	5.8%	5.1%
Endesa	0.5%	1.2%	1.0%
Engie	1.3%	1.7%	1.7%

Source: Bernstein analysis and estimates

EXHIBIT 3: Nearer-term power forwards have increased significantly



Source: Bloomberg as of September 15 2026, Bernstein analysis

EXHIBIT 5: Dispersion in upside risk on power prices

€10/MWh impact on net profit	2026 e	2027 e	2028 e
EDP	2.5%	7.2%	10.4%
Endesa	0.2%	3.4%	9.1%
Iberdrola	0.7%	2.4%	4.9%
Naturgy	0.2%	1.8%	3.0%
Enel	0.3%	1.7%	4.7%
Engie	0.6%	2.0%	3.4%
Verbund	4.9%	8.5%	13.7%
SSE	0.2%	0.7%	2.5%
EDPR	4.8%	8.4%	12.3%
Acciona E.	1.0%	11.2%	17.6%
Solaria	11.7%	17.8%	25.4%
Grenergy	12.1%	8.8%	9.1%

Source: Bernstein analysis and estimates

NEAR-TERM SUPPLY DISRUPTION AND STRUCTURAL DEMAND GROWTH SUPPORT HIGHER POWER PRICES

GAS TIGHTNESS CREATES NEAR-TERM UPSIDE RISK TO POWER PRICES

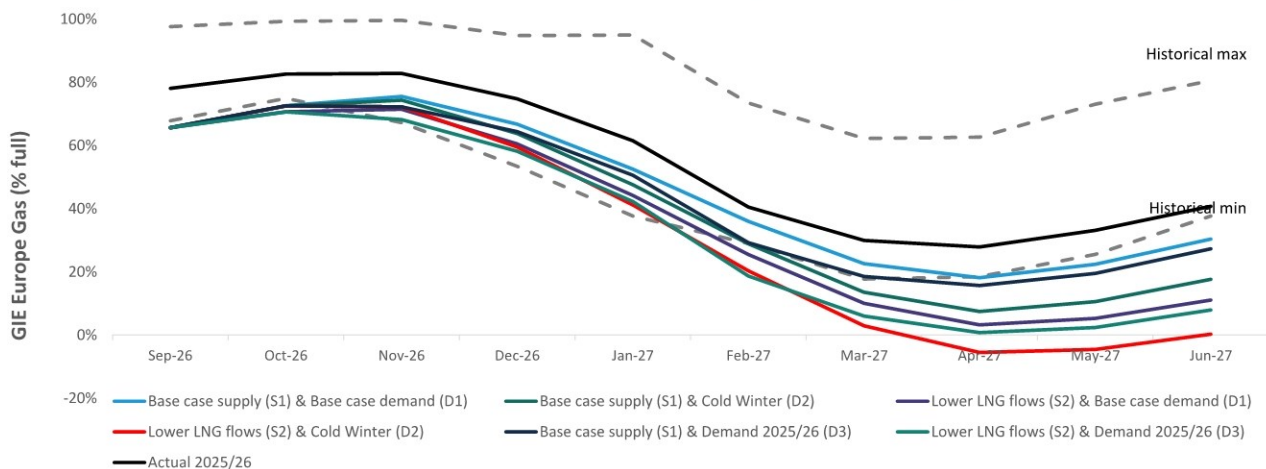
We see increasing upside risk to European power prices and volatility through winter 2026/27 and potentially into 2027 ([European Utilities: A tighter winter gas outlook supports power market optionality](#)). The starting point is an unusually weak European gas storage position. Storage was only 67% full on 9 September 2026, versus 80% at the same point in 2025 and 93% in 2024. Germany is the key concern, with storage at just 55%, compared with 74% a year earlier. This leaves the market with materially less protection against potential colder weather, supply outages or stronger competition for LNG cargoes.

Our scenario analysis suggests the gas balance remains tight even under normal winter conditions. In the base case, which assumes LNG imports return to historical monthly peaks and demand remains in line with winter 2024/25, European storage falls to 18% by April 2027. Under lower LNG inflows and base-case demand, storage falls to just 3%. A cold winter combined with lower LNG availability produces a theoretical storage deficit this winter, illustrating how little margin for error remains in the system (Exhibit 6 and Exhibit 7).

Europe's ability to avoid the more adverse storage outcomes is increasingly dependent on attracting LNG. We estimate LNG regasification utilisation would need to reach 72% under base-case demand and 81% in a cold winter to achieve the 30% end-March storage target. This compares with average EU utilisation of 84% in 1Q25 and 61% in 4Q25. Physical import capacity has expanded since the 2022/23 energy crisis, but Europe will need to offer prices that are sufficiently competitive with Asia to secure the required cargoes. At the same time, LNG has faced increasing competition particularly with Asia where the JKM-NWE spread has not been supportive of LNG flows into Europe. Continued maritime disruption adds further uncertainty: LNG tanker traffic through the Strait of Hormuz has remained subdued. At end-August, Qatar extended force majeure on LNG supplies to Italy's Edison until November.

Higher prices may also need to persist beyond the coming winter. Even if Europe navigates winter 2026/27 without a physical shortage, low end-winter inventories would create a larger refill requirement ahead of winter 2027/28. This could sustain competition for LNG through the following summer, limiting the normal seasonal decline in gas prices and could sustain upward pressure on both summer and winter gas, and hence power prices.

EXHIBIT 6: Bernstein forecast: Europe faces a tight winter 2026/27 gas balance , requiring strong LNG inflows



Source: Bernstein analysis and estimates

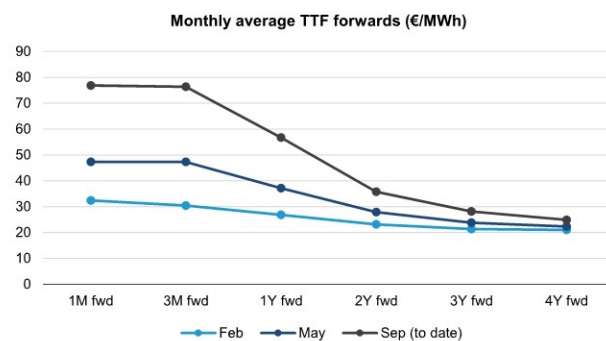
EXHIBIT 7: 2026/27 winter balance: Gas storage levels depending on Demand & Supply scenario analysis

	01-Sept	01-Oct	01-Nov	01-Dec	01-Jan	01-Feb	01-Mar	01-Apr	01-May	01-Jun
Base case supply (S1) & Base case demand (D1)	66%	73%	76%	67%	53%	36%	23%	18%	22%	30%
Base case supply (S1) & Cold Winter (D2)	66%	73%	74%	64%	48%	29%	14%	7%	11%	18%
Base case supply (S1) & Demand 2025/26 (D3)	66%	73%	72%	64%	51%	29%	19%	16%	20%	27%
Lower LNG flows (S2) & Base case demand (D1)	66%	71%	71%	61%	44%	25%	10%	3%	5%	11%
Lower LNG flows (S2) & Cold Winter (D2)	66%	71%	70%	58%	39%	18%	1%	-7%	-7%	-2%
Lower LNG flows (S2) & Demand 2025/26 (D3)	66%	71%	68%	58%	42%	19%	6%	1%	2%	8%
Actual 2025/26	78%	83%	83%	75%	62%	41%	30%	28%	33%	41%
3 year average	88%	91%	92%	85%	73%	54%	43%	40%	45%	53%

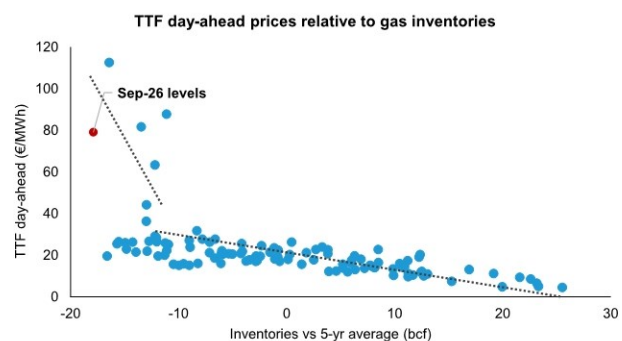
Source: Bloomberg, GIE, Bernstein analysis and estimates

Heightened concerns over potential LNG supply disruptions related to the Middle East conflict have led to a repricing of European gas markets, with the 3-month to 1-year TTF forwards currently over double the average levels pre-conflict. The steep backwardation indicates that the market expects TTF to ease in the medium-to long term, though forwards are above pre-conflict levels (Exhibit 8).

Lower European gas inventories are typically associated with higher TTF prices, with the relationship becoming increasingly pronounced as storage levels fall below historical norms. While TTF has historically shown limited sensitivity to inventory fluctuations when storage is near or above the five-year average, price responsiveness rises materially once inventories drop roughly 10-15 Bcf below normal levels. As a result, weaker inventory restocking and lower storage levels can disproportionately increase upward pressure on European gas prices (Exhibit 9).

EXHIBIT 8: Near term TTF forwards have materially increased since the conflict

Source: Bloomberg as of September 15 2026, Bernstein analysis

EXHIBIT 9: TTF prices have risen sharply when European gas inventories fall materially below the 5yr average

Source: Bloomberg, Bernstein APAC Oil & Gas team analysis

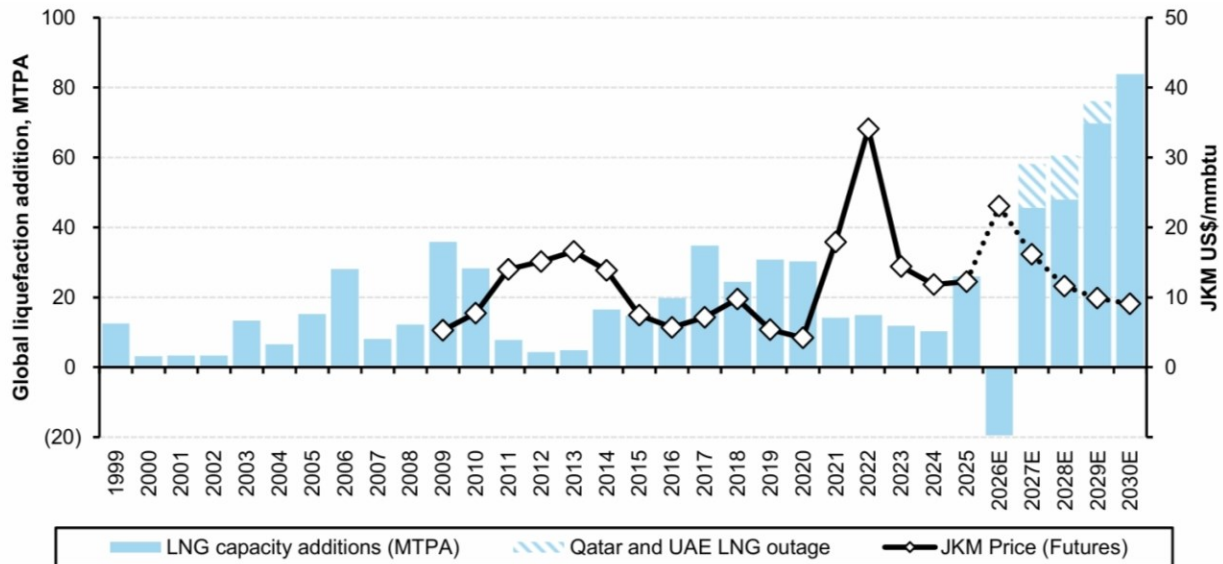
LNG SUPPLY WAVE DELAYED BUT SHOULD LOOSEN THE EUROPEAN GAS MARKET LONGER-TERM

The global LNG market faces a sharp near-term supply shortage, but this does not alter the longer-term outlook for oversupply, as highlighted by our colleague Neil Beveridge ([see here for more details](#)). Our APAC Oil & Gas team estimates that Middle Eastern disruptions have removed approximately 63MTPA of LNG supply, while delays to Qatar's North Field expansion reduce expected 2026 additions by a further 5MTPA. Although new projects in the US and elsewhere are ramping up, these additions are insufficient to offset Qatari and UAE losses, resulting in an estimated net decline of around 20MTPA in effective LNG supply during 2026.

Tightness is likely to persist through 2027 while accelerating project completions and new supply additions from 2028 onward should return the market to surplus (Exhibit 10). The team estimates that existing and under-construction projects could generate approximately 50MTPA of excess LNG capacity by 2030, reinforcing the long-term expectation of market oversupply despite the near-term supply shortfall.

The IEA's latest Gas Market Report is directionally consistent with the view that the Middle East supply shock has interrupted the previous easing in global gas balances and will leave the LNG market tighter than previously expected through 2026-27 delaying the expected loosening of market balances. The IEA expects high prices to suppress consumption, estimating European natural gas demand to fall by more than 2% in 2026, supported by renewables growth, lower gas-fired generation and pressure on energy-intensive industry.

EXHIBIT 10: Net decline in 2026 LNG capacity additions results in supply tightness easing in 2027 to a more comfortable position in 2028



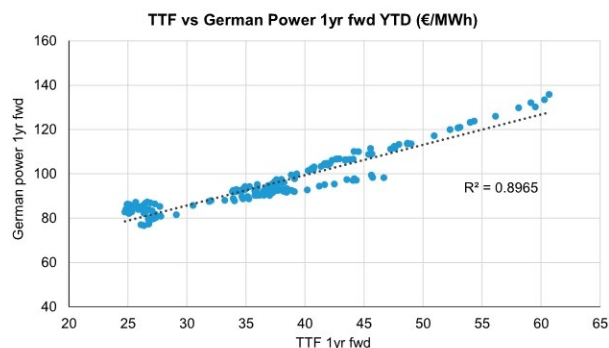
Source: Bloomberg, Company data, Bernstein APAC Oil & Gas team analysis and estimates

POWER PRICES ARE REFLECTING THE SHORT TERM SCENARIO

The rise in TTF is feeding into power prices. Under Europe's marginal-pricing model, gas-fired plants provide the last MWh required to balance the system; when they set the clearing price, a higher gas input cost lifts the price received by all dispatched generators. Gas accounted for only 17.6% of EU generation in 2025, but fossil plants still set power prices in roughly 50% of hours, explaining why the gas-power linkage remains materially stronger than the generation share implies (Exhibit 11).

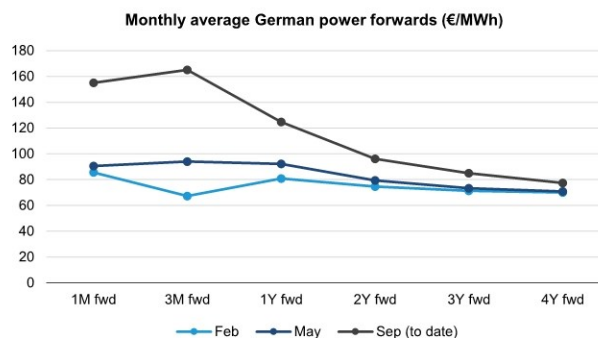
Recent power forward movements reflect this dynamic with German 1-month forward rising 81% between February and September from €86/MWh to €155/MWh and the 3-month forward over doubling from €67/MWh to €165/MWh over the same time period (Exhibit 12). However, sensitivity is not uniform with countries having differing exposure to TTF. For example in Italy, gas influenced an estimated 75% of day-ahead pricing hours in January-May 2026, versus only 9% in Spain. However, power forwards have considerably risen since the start of the conflict (Exhibit 13).

EXHIBIT 11: TTF prices can have a large influence on power prices



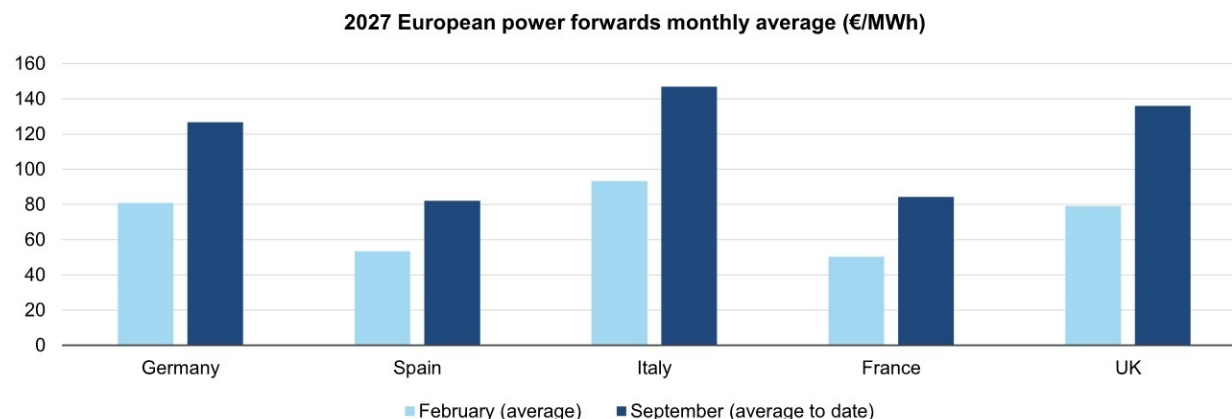
Source: Bloomberg as of September 15 2026, Bernstein analysis

EXHIBIT 12: German power forwards have reacted similarly to TTF but less pronounced



Source: Bloomberg as of September 15 2026, Bernstein analysis

EXHIBIT 13: Power forwards have risen considerably across major European markets since the conflict



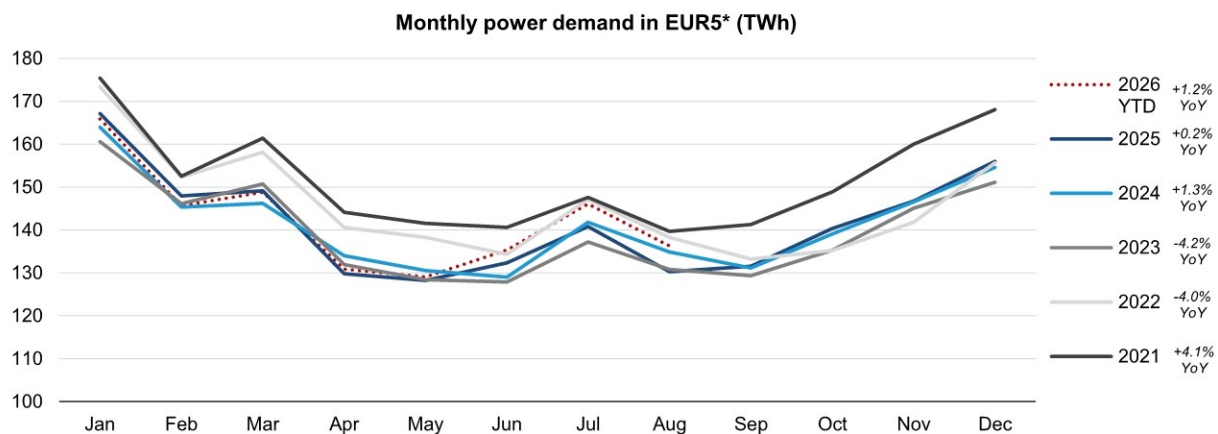
Source: Bloomberg as of September 15 2026, Bernstein analysis

POWER DEMAND IN EUROPE IS EXPECTED TO SHOW GROWTH

Following two years of contraction in 2022-23, power demand in Europe's big five power markets (France, Germany, Italy, Spain and the UK) recovered by 1.3% in 2024 and 0.2% in 2025 (Exhibit 14). Over 2025, colder winter weather raised space-heating requirements, while summer heatwaves increased air-conditioning use. Structural demand also continued to rise through the deployment of heat pumps and electric vehicles and the expansion of data centers, although industrial electricity consumption remained broadly flat following its energy crisis-related contraction. In the first eight months of 2026, power demand has increased by 1.2% YoY, aided by record-breaking heat waves that boosted cooling demand that are expected to be increasingly common going forward (Exhibit 15).

Looking into wider Europe, electricity demand is set to accelerate to 2030 as electrification offsets the structural weakness seen over the past close to two decades, although the recovery is likely to be broader and more gradual than the data center-led expansion anticipated in the US. Demand in the EU27 and UK remained around 5% below 2019 levels in 2024, reflecting significant post-energy-crisis demand destruction, particularly in industry. Industrial consumption represents around one-third of EU27 electricity demand and accounted for more than 60% of the reduction between 2019 and 2023, making an industrial recovery important to the outlook (Exhibit 16).

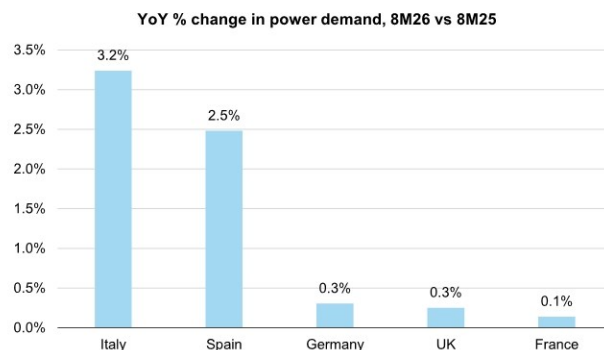
EXHIBIT 14: **European power demand is growing but remains below pre-crisis levels**



*EUR5 refers to France, Germany, Italy, Spain and UK

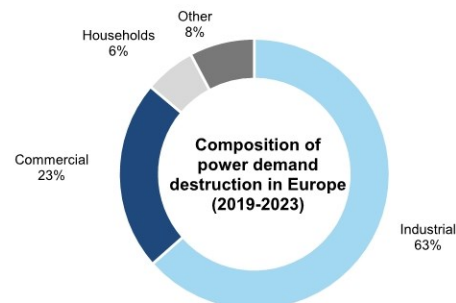
Source: S&P Global Commodity Insights, Bernstein analysis

EXHIBIT 15: **Big European power markets are showing demand growth in 2026**



Source: S&P Global Commodity Insights, Bernstein analysis

EXHIBIT 16: **Power demand destruction in Europe following the 2022 Energy Crisis was dominated by industry**

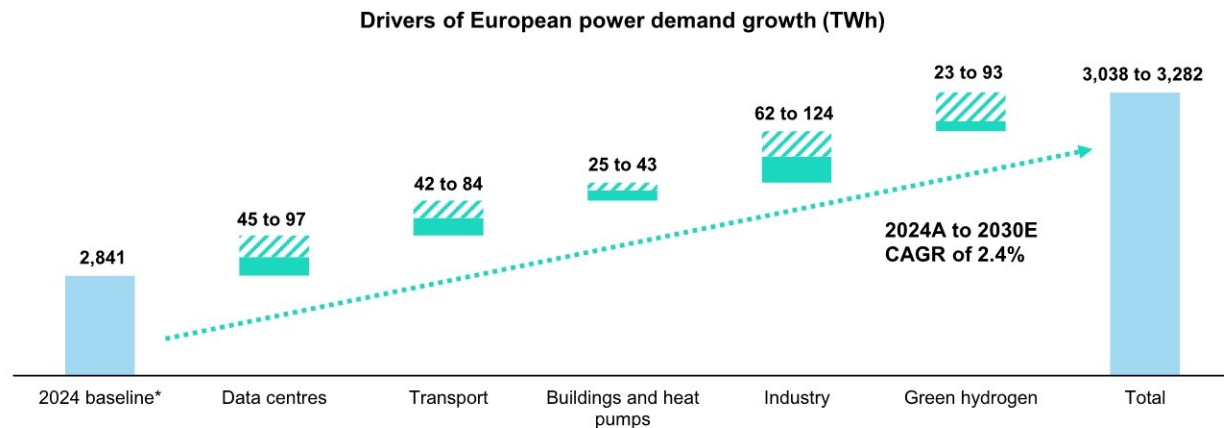


Source: Eurostat, Bernstein analysis

Nevertheless, we see a credible pathway back to growth through the combination of electrification and new sources of consumption. Data centers could add between 45-97TWh of demand by 2030, but will sit alongside electric transport, heat pumps, industrial electrification and green hydrogen. In aggregate, these drivers could lift European electricity consumption by

7-16% from 2024 levels by 2030e, equivalent to a ~2.4% CAGR at the upper end (Exhibit 17). This level of growth is broadly consistent with the latest industry projections with the IEA Electricity 2026 estimating EU27 power demand growth at 2.3% CAGR over 2026-30 while BNEF's New Energy Outlook 2026 forecasts 2.0% annual growth over 2025-30 for Europe.

EXHIBIT 17: Data center power demand growth sits alongside other drivers that could in aggregate push European power demand ~7% to ~16% higher by 2030



Note: EU27+UK+Norway

Source: McKinsey, BNEF, IEA, Hydrogen Europe, Eurelectric, EHPA, Bernstein analysis and estimates

Iberia appears particularly well positioned, supported by competitive renewable resources, available land and a growing pipeline of industrial and digital infrastructure projects. Demand growth has started to materialise with 2025 electricity demand up +2.8% year-on-year in Spain and +3.2% year-on-year in Portugal. The demand growth will be driven by new industrial projects, the electrification and growth of current industries (by 2030), data centers (big step up by 2030 and a gradual increase thereafter), the electrification of transport (gradual increase and accelerating after 2035) and green hydrogen production (2032-2040).

We have analysed the main drivers of new electricity demand in the Iberian Peninsula over the coming years, setting a 2030 horizon (subject to flexibility due to project commissioning schedules and ramp-up processes). Our conclusion is that electricity demand could grow by close to +17% (excluding green hydrogen) and close to +20% (including green hydrogen) by 2030 versus 2024 levels implying a +3% CAGR to 2030e (Exhibit 18 and Exhibit 19).

This is broadly consistent with the figures indicated by Iberian utilities: Endesa's 2026-28 strategic plan assumes Spanish electricity demand growth of +3% annually over 2025-30, while EDP expects Portuguese demand to grow at a +4.5% CAGR over 2026-35, or 2.4% excluding data centres. Overall, we see clear evidence that Europe is entering a new phase of power demand growth, with Iberia likely to lead the recovery.

EXHIBIT 18: Iberian power demand could increase close to 20% by 2030e

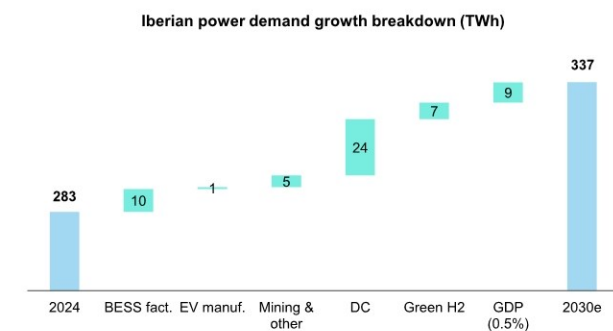
TWh	2024	BESS fact.	EV manuf.	Mining & other	DC	Green H2	GDP (0.5%)	2030e
Spain	233	7	1	4	18	6	7	275
Portugal	50	2	0	1	6	1	2	63
Total Iberia	283	10	1	5	24	7	9	337

Growth %	vs 2024	Ex H2
Spain	17.9%	15.5%
Portugal	25.2%	22.5%
Total Iberia	19.2%	16.7%

CAGR (%)	2024-30e	Ex H2
Spain	2.8%	2.4%
Portugal	3.8%	3.4%
Total Iberia	3.0%	2.6%

Source: Bernstein analysis and estimates

EXHIBIT 19: Iberian demand growth drivers



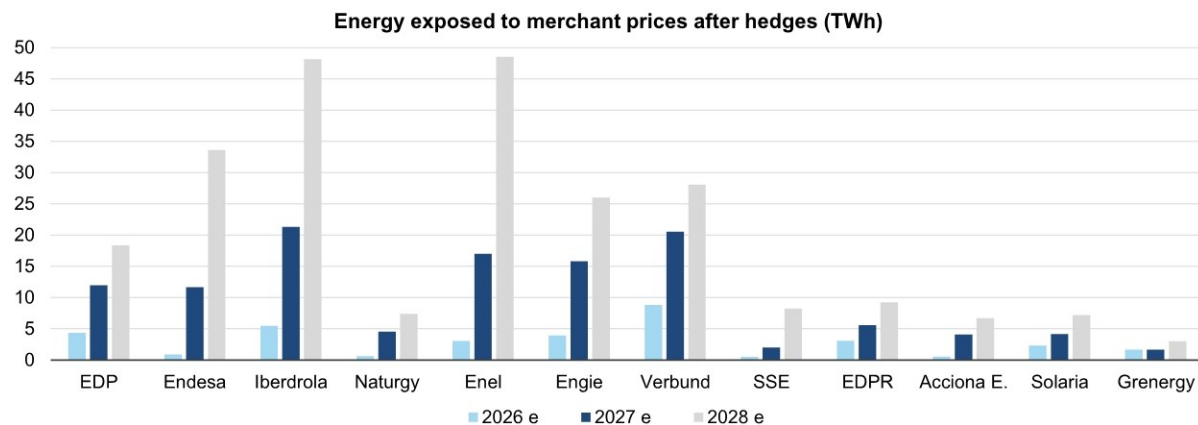
Source: Bernstein analysis and estimates

WINDOW OF OPPORTUNITY FOR MERCHANT PRODUCTION AND UNHEDGED GAS VOLUMES

MERCHANT EXPOSURE TO POWER PRICES

For sensitivity purposes, we assess the merchant exposure of the main utilities under our coverage. We define this as expected infra-marginal generation that is neither covered by long-term contracts or regulated remuneration nor already committed through fixed-price commercial offers to end customers. Our near-term analysis focuses on 2026-28e, when companies are likely to have already implemented at least part of their hedging strategies. Beyond 2028e, we assume that merchant generation remains unhedged, either through sales to end customers or financial hedges. As a result, power price exposure could be significantly greater than during 2026-28e, although visibility on power prices beyond 2028e is also more limited. Nevertheless, assessing each company's structural merchant exposure remains valuable, as it highlights the potential longer-term earnings opportunities or headwinds under different power price scenarios (Exhibit 20).

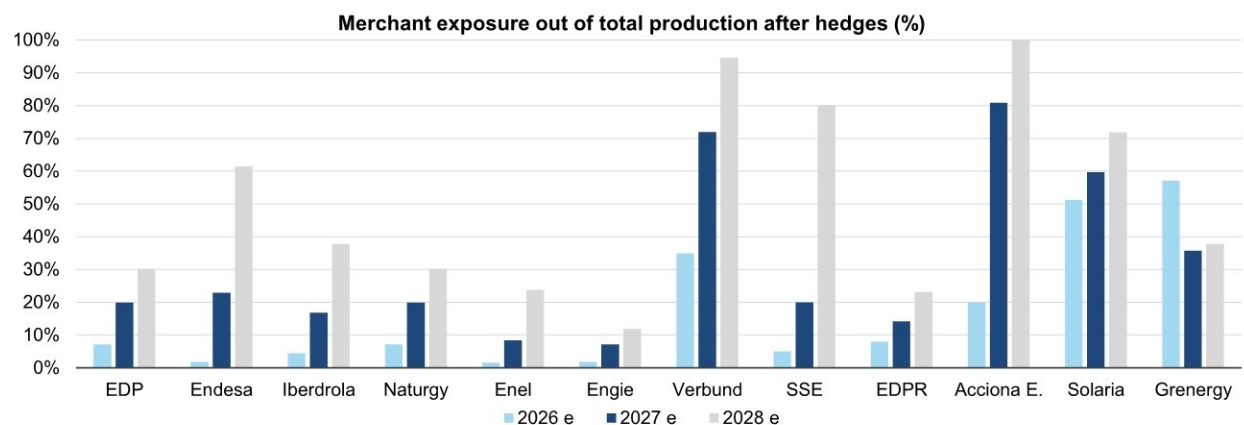
EXHIBIT 20: Merchant exposure is limited for 2026e, growing further out



Source: Bernstein analysis and estimates

Broadly speaking, integrated utilities typically hedge the majority of their expected generation one year ahead. Depending on market conditions and liquidity, they may also hedge around 30-50% of expected generation two years forward, with limited volumes hedged three years ahead. Among renewable developers, EDPR typically commits part of its generation to EDP, which can place the volumes with its end-customer base. Its hedging strategy is therefore broadly comparable with that of the integrated utilities, although its US exposure is generally left unhedged. Smaller renewable producers, meanwhile, typically make limited use of financial hedges (Exhibit 21).

EXHIBIT 21: Integrated utilities typically hedge majority of generation 1-year ahead and 30-50% 2-years ahead



Source: Bernstein analysis and estimates

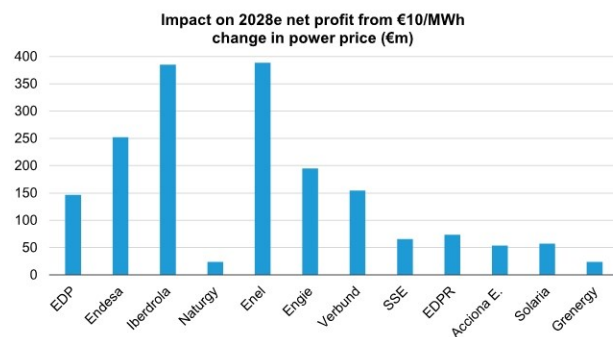
LIMITED UPSIDE IN 2026E BUILDING MATERIALLY TOWARD 2028E

Our analysis suggests limited earnings upside from higher power prices in 2026e, with most integrated utilities and generators having already hedged almost all of their expected production. Some renewable producers retain meaningful merchant exposure, as they typically make limited use of financial hedges. Across our coverage, the proportion of production exposed to market prices ranges from around 2% to more than 50%. The highest exposures are at Solaria and Grenergy, with Grenergy's sensitivity reflecting its Chilean exposure to peak power prices through BESS. Nevertheless, based on a €10/MWh increase in power prices, the estimated net profit impact remains limited for most companies under coverage.

The upside potential becomes more meaningful in 2027e as hedging declines. Even for integrated utilities, reported hedging levels typically include volumes allocated to "sticky" retail customers. The prices paid by these customers may increase if wholesale prices rise before their contracts are renewed, providing some additional earnings sensitivity. We estimate that close to 20% of integrated utilities' expected production could benefit from higher power prices in 2027e. Exposure also increases materially for generators, including Verbund, and for several renewable producers.

By 2028e, market-exposed volumes move significantly closer to companies' structural merchant exposure. The dispersion across our coverage therefore widens, both in terms of the proportion of production exposed and the potential impact on net profit providing a clearer sensitivity of which companies offer the greatest relative sensitivity to power price movements (Exhibit 22 and Exhibit 23).

EXHIBIT 22: €m sensitivity may not reflect into earnings sensitivity



Source: Bernstein analysis and estimates

EXHIBIT 23: Dispersion in upside risk on power prices

€10/MWh impact on net profit	2026 e	2027 e	2028 e
EDP	2.5%	7.2%	10.4%
Endesa	0.2%	3.4%	9.1%
Iberdrola	0.7%	2.4%	4.9%
Naturgy	0.2%	1.8%	3.0%
Enel	0.3%	1.7%	4.7%
Engie	0.6%	2.0%	3.4%
Verbund	4.9%	8.5%	13.7%
SSE	0.2%	0.7%	2.5%
EDPR	4.8%	8.4%	12.3%
Acciona E.	1.0%	11.2%	17.6%
Solaria	11.7%	17.8%	25.4%
Grenergy	12.1%	8.8%	9.1%

Source: Bernstein analysis and estimates

STRUCTURAL MERCHANT EXPOSURE HIGHLIGHTS LONGER-TERM POWER PRICE SENSITIVITY

Despite the inherent volatility of power prices and the expected normalisation of gas prices (thus impacting power prices) by 2029-30, assessing structural merchant exposure remains important. The power price curve has historically moved higher during periods of elevated gas prices or tighter electricity markets. A sustained acceleration in power demand and electrification could therefore provide further support to prices over the longer term.

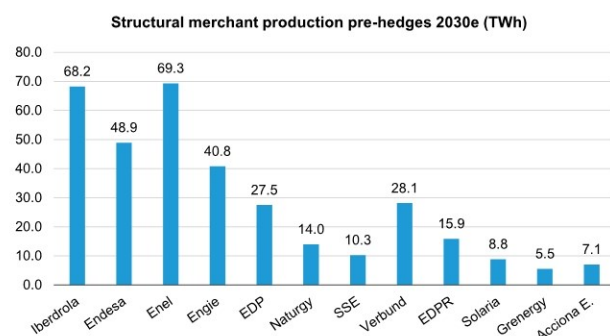
Looking towards 2030e, we identify EDP, Endesa and Verbund as having relatively high sensitivity to power prices, measured as the percentage change in net profit for each €10/MWh movement in prices. Solaria and Grenergy also are currently highly exposed, although their merchant exposure should decline as they enter into new PPAs (Solaria's latest strategic plan pointed to ~25-30% merchant exposure structurally).

In absolute terms, Iberdrola, Enel and Engie have greater exposure based on market-exposed production in TWh and the potential earnings impact in €m. However, their broader and more diversified business portfolios dilute the impact at group level, resulting in lower net profit sensitivity than for EDP, Endesa and Verbund (Exhibit 24 to Exhibit 26).

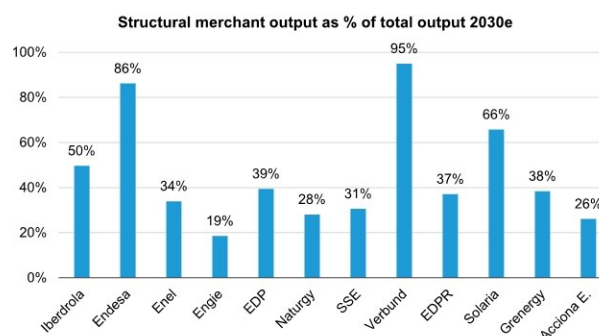
EXHIBIT 24: **Structural merchant exposure pre-hedges 2030e**

	Iberdrola	Endesa	Enel	Engie	EDP	Naturgy	SSE	Verbund	EDPR	Solaria	Grenergy	Acciona E.
Merchant 2030 (TWh)	68.2	48.9	69.3	40.8	27.5	14.0	10.3	28.1	15.9	8.8	5.5	7.1
As % total Output	50%	86%	34%	19%	39%	28%	31%	95%	37%	66%	38%	26%
Hydro (TWh)	20.8	10.0	27.0	18.5	10.4	4.0	3.5	25.4	0.0	0.0	0.0	0.0
Wind/solar (TWh)	23.5	14.0	42.4	14.3	15.9	8.4	6.8	2.7	15.9	8.8	5.5	7.1
Nuclear (TWh)	23.9	24.9	0.0	8.0	1.2	1.5	0.0	0.0	0.0	0.0	0.0	0.0
Europe (TWh)	63.4	48.9	69.3	40.8	17.6	13.8	10.3	28.1	6.0	8.8	1.3	6.7
US (TWh)	4.8	0.0	0.0	0.0	8.6	0.0	0.0	0.0	8.6	0.0	0.0	0.0
ROW (TWh)	0.0	0.0	0.0	0.0	1.2	0.2	0.0	0.0	1.2	0.0	4.2	0.4
As % net profit	5.9%	13.7%	6.1%	5.2%	12.9%	5.3%	2.5%	18.0%	19.6%	23.7%	16.0%	19.0%

Source: Bernstein analysis and estimates

EXHIBIT 25: **Iberdrola, Enel and Engie have the largest structural exposure**

Source: Bernstein analysis and estimates

EXHIBIT 26: **But not necessarily as % of group production and net profit**

Source: Bernstein analysis and estimates

LIMITED NEAR-TERM GAS TRADING UPSIDE, BUT THE RISK IS SKEWED POSITIVELY

We also see an opportunity for utilities to capture higher gas trading spreads following the recent increase in gas prices and the expected tightness of the European market in 2027. In our view, the greatest potential for incremental profits is concentrated in 4Q26 and 2027, before margins begin to normalise in 2028.

We have assessed the potential volumes available for trading at Naturgy, Endesa and Engie, together with their earnings sensitivity to spreads above those already reflected in our estimates. Based on our analysis, the spread between Henry Hub and TTF could reach €62/MWh in 4Q26, €36.5/MWh for 2027 delivery and €12.3/MWh in 2028.

Naturgy: We already factor in margin expansion across Naturgy's LNG and gas trading activities. However, the company could capture additional profits through volume flexibility in its Algerian pipeline contracts and unhedged Henry Hub-linked gas. We estimate that only limited volumes remain available in 2026e, but the volumes increase in 2027e and 2028e.

Endesa: Following the expiry of two oil-linked gas contracts with Qatar and Nigeria, Endesa retains 3bcm of supply from the US and 1bcm from Algeria. As with Naturgy, we assume some volume flexibility within the Algerian contract and a proportion of unhedged Henry Hub-linked gas.

Engie: The company provides limited visibility on its procurement sources and even less on the volumes potentially available for opportunistic trading. For the purposes of the sensitivity analysis, we assume the same volume flexibility remaining as with Naturgy and Endesa which we consider reasonable levels for a company with an established trading operation.

Overall, higher spreads could have a meaningful impact on Naturgy's earnings in 2027e and 2028e (despite the limited volumes left available for trading). For Endesa, the potential impact is more limited given its smaller available volumes. For Engie, we estimate a moderate group-level impact as trading makes up a relatively small contribution of the broader group. The key driver is the amount of gas that remains unhedged following the initial hedging opportunity created by the start of the Iran conflict (Exhibit 27).

EXHIBIT 27: Potential impact of gas trading window of opportunity

NATURGY	2026 e	2027 e	2028 e	ENDESA	2026 e	2027 e	2028 e	ENGIE	2026 e	2027 e	2028 e
Procurement of gas				Procurement of gas				Procurement of gas	24.6	24.6	24.6
Algeria (Bcm)	5.0	5.0	5.0	Link to Oil (Bcm)	2.0	1.0	1.0	Link to Oil (Bcm)	8.0	8.0	8.0
HH (Bcm)	6.9	6.9	6.9	HH (Bcm)	3.0	3.0	3.0	HH (Bcm)	16.6	16.6	16.6
% available for trading				% available for trading				% available for trading			
Algeria (Bcm)	1.5%	3.5%	5.0%	Link to oil (Bcm)	1.5%	3.5%	5.0%	Link to Oil (Bcm)	1.5%	3.5%	5.0%
HH (Bcm)	1.0%	5.0%	10.0%	HH (Bcm)	1.0%	5.0%	10.0%	HH (Bcm)	1.0%	5.0%	10.0%
Δ volume for trading (TWh)	1.5	5.5	9.9	Δ volume for trading (TWh)	0.6	1.9	3.7	Δ volume for trading (TWh)	3.0	11.6	21.6
Δ Spreads TTF - HH (€/MWh)	62.0	36.5	12.3	Spreads TTF - HH (€/MWh)	62.0	36.5	12.3	Spreads TTF - HH (€/MWh)	62.0	36.5	12.3
Impact in EBITDA (€m)	94	199	122	Impact in EBITDA (€m)	39	71	45	Impact in EBITDA (€m)	186	425	266
Impact in net profit (€m)	70	149	91	Impact in net profit (€m)	29	53	34	Impact in net profit (€m)	140	319	200
As % EBITDA	1.7%	3.6%	2.2%	As % EBITDA	0.6%	1.1%	0.7%	As % EBITDA	1.2%	2.5%	1.6%
As % Net profit	3.3%	7.2%	4.6%	As % Net profit	1.1%	2.0%	1.2%	As % Net profit	2.7%	5.5%	3.5%

Source: Bernstein analysis and estimates

COMPANIES POTENTIALLY POSITIVELY IMPACTED BY HIGHER-FOR-LONGER ENERGY PRICE SCENARIO

In summary, we **identify EDP, Endesa and EDPR as the companies best positioned** to benefit from a higher-for-longer power price environment over the next 2-3 years, as well as from power prices remaining above our previous expectations over the longer term.

Verbund also appears attractively exposed at first glance. However, the benefit could be reduced by low hydro production, which may at times fall below hedged volumes, as is currently the case, requiring the company to buyback power in the market at elevated prices. In addition, a potential extension of existing windfall taxes could further dilute the benefit. As a result, earnings sensitivity is likely to be lower than our headline analysis suggests and importantly, more volatile.

In the case of Solaria, the impact will depend on by how much the solar profile price will be impacted by higher wholesale prices (not much in our view as demand and production during daylight timeframe will not be impacted by higher power prices in peak times linked to higher gas prices), and the batteries installed (by Solaria and by the system as a whole). In any case we think the impact will be much more muted (likely 40-60% lower than a straight forward calculation of €10/MWh applied to all the merchant production).

Greenergy's merchant exposure is predominantly linked to its Chilean assets, where BESS capacity allows the company to capture high spreads at specific node saturation. However, both the volumes available for trading and the spreads achieved could decline over time due to battery degradation and the addition of further storage capacity to the system.

Overall, **we view merchant exposure over the coming years as a source of potential upside** rather than a material concern. Flexible generation should also become increasingly valuable, as we expect peak to off-peak spreads to remain elevated for some time as the rollout of storage is unlikely to rapidly eliminate peak power prices.

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I. REQUIRED DISCLOSURES

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